China: CPI inflation retreated while PPI inflation climbed in June

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CPI inflation slowed to 1.0% y-o-y in June from 1.2% in May, slightly missing expectations (Consensus: 1.1%; Nomura: 1.2%). The decline in CPI inflation was led by external forces. Global oil and gold prices, which feed into the energy and core components of the CPI basket, retreated notably in June. According to the NBS, the combined boost from oil and gold to headline CPI inflation dropped by 0.23pp, declining to 0.60pp in June from 0.83pp y-o-y in May. This suggests that, excluding the impact of oil and gold, underlying CPI inflation remained largely stable at around 0.4% y-o-y.

PPI inflation climbed to 4.1% y-o-y in June from 3.9% in May, in line with expectations (Consensus: 4.1%; Nomura: 4.0%). The rise was largely driven by a low base effect, while sequential PPI inflation turned negative amid falling global oil prices. In our sectoral contribution breakdown, we estimate that oil-related sectors, which account for around 14% of the PPI basket, boosted headline PPI inflation by 1.6pp in June, down from a 1.9pp boost in May. Non-ferrous sectors contributed 1.7pp to headline inflation in June, and chip-related tech manufacturing sectors contributed 0.4pp. Excluding the boost from energy and AI-related materials, we estimate underlying PPI inflation in June is around 0.6% y-o-y.

We revised up our 2026 *CPI and PPI inflation forecasts* in early June to 0.9% and 2.5%, respectively, from 0.6% and 1.0%, in view of the imported inflationary forces from global oil and chips. Since then, oil prices have retreated to near pre-war levels but sharply rebounded on 8 July due to reignited geopolitical tensions. While our inflation forecast depends heavily on the trajectories of whipsawing global oil prices, underlying inflation remains weak when excluding global commodity prices and chip prices. We expect Beijing to maintain an accommodative monetary policy and ramp up fiscal spending to boost domestic demand in coming months. That said, given flush market liquidity and low CGB yields, we maintain *our forecast for no RRR and rate cuts* this year.

Our forecast for July inflation data

We expect CPI inflation to retreat further to 0.8% y-o-y in July, dragged by food prices and a smaller boost from energy and gold prices. High-frequency data show that MARA agricultural food prices fell to -2.3% y-o-y in month-to-date July from -0.4% in June, as egg prices retreated from recent peaks, while pork prices remained subdued. The NDRC cut retail petrol prices by RMB950 per tonne in early July, which contrasts with the RMB105 per tonne hike in July last year. This should lessen the energy boost to the CPI basket. That said, if the overnight oil prices surge sustains, the NDRC is likely to adjust petrol prices again later this month.

We expect PPI inflation to stay at 4.1% y-o-y in July, as the global oil price retreat largely offsets a still-low base from last year. In year-on-year terms, Brent oil price inflation dropped notably to 0.5% in month-to-date July from 19.8% in June. In absolute terms, Brent oil prices stayed at pre-war levels at around USD70/bbl in the first week of July but spiked on 8 July to USD78/bbl due to reignited geopolitical tensions. If this sharp rebound in oil prices persists, it would represent an upside risk to our current forecast.

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CPI inflation moderated on lower oil and gold prices

CPI inflation eased to 1.0% y-o-y in June from 1.2% in May, slightly below market expectations (Consensus: 1.1%; Nomura: 1.2%). According to the NBS, the joint contribution of gold and oil to headline inflation was 0.23pp lower in June from May. In other words, the moderation in headline CPI inflation could be mostly explained by lower price inflation of gold and oil.

In sequential terms, CPI inflation fell to -0.3% m-o-m in June from -0.1% in May (June 2025: -0.1%). Amid the steep decline in global oil prices, gasoline prices increased by 17.0% y-o-y in June, accounting for about half of headline CPI inflation reading. Food remained a visible drag, with its inflation at -1.6% y-o-y in June, little changed from -1.7% in May, while nonfood inflation fell to 1.5% from 1.9%. Excluding food and energy, core inflation inched down to 1.0% y-o-y in June from 1.1% in May. Services inflation remained unchanged at 0.8% y-o-y.

Oil price inflation dropped on the US-Iran MOU

Amid the sharp decline in global oil prices, domestic gasoline prices fell markedly by 4.9% m-o-m in June, following the 0.3% decline in May, with its contribution to headline CPI inflation falling to -0.15pp in June from -0.01pp in May and +0.39pp in April. In year-on-year terms, gasoline price inflation dropped to 17.0% in June from 23.5% in May, contributing 0.51pp to headline inflation, down from a 0.66pp contribution in May.

Gold's contribution declined further

Prices of gold-related products increased by 28.1% y-o-y in June, down further from increases of 39.0% in May, 46.9% in April, 65.8% in March, 76.6% in February and 77.4% in January. As the weighting of gold in the core CPI basket is about 0.6% (see *China: A more realistic picture of core CPI inflation after excluding gold* , 26 December 2025), we estimate gold contributed 0.17pp y-o-y to core CPI inflation. Thus, excluding gold, core CPI inflation would be 0.83% y-o-y in June, similar to the 0.9% reading in May.

Pork remains a material drag

Among food, pork remains the largest drag. Pork inflation, at -15.9% y-o-y in June, was little changed from -16.1% in May and -15.2% in April, with a contribution of -0.3pp to headline CPI inflation. Given abundant pork supply and weak domestic demand, pork prices should remain under pressure in the near term. According to the MARA, the latest data show that growth in the number of hogs slaughtered remained elevated at 21.6% y-o-y in June, albeit moderating from 26.7% in May.

Other components

The contributions from other components were largely steady. Egg price inflation jumped to 16.0% y-o-y in June from 6.6% in May on limited supply amid heatwaves, while its impact on headline inflation was only 0.08pp. Amid rising chip prices, inflation of communication facilities, which include mobile phones, increased further to 7.6% y-o-y in June from 6.6% in May and 4.2% in April. By contrast, due to the payback effects from the durable goods trade-in program (see *China: Retail sales revisited* , 2 July 2026), price inflation for home appliances fell to 2.2% y-o-y in June from 3.4% in May.

PPI inflation edged up in June

PPI inflation rose further to 4.1% y-o-y in June from 3.9% in May, in line with market expectations (Consensus: 4.1%; Nomura: 4.0%). This marks four consecutive months of positive PPI readings and the highest monthly reading since July 2022, driven by the global energy shock. Sequential PPI inflation turned negative, as expected, falling to -0.3% m-o-m in June from 0.5% in May, which suggests inflationary pressures are moderating following the pullback of global crude prices.

The rise in PPI inflation was concentrated entirely in upstream sectors, while prices in downstream sectors actually declined even in year-over-year terms, which shows that inflationary pressures are not broadening across the economy. Markets should still interpret the strong reading with a certain degree of caution.

PPI inflation in upstream sectors increased to 5.5% y-o-y in June from 5.2% in May, contributing 4.28pp to the headline PPI inflation reading. Within upstream sectors, PPI inflation across mining and manufacturing sectors increased to 16.5% y-o-y and 3.0%, respectively, in June from 15.8% and 2.3% in May. However, PPI inflation in the raw materials sector moderated to 8.6% y-o-y in June from 9.2% in May, making a negative contribution of headline PPI inflation in May. For downstream sectors (consumer goods), PPI inflation edged down to -0.9% y-o-y in June from -0.8% in May, signalling still-muted price pressures on the consumer side.

In specific sectors, PPI inflation in the petroleum and natural gas extraction industry eased significantly to 16.8% y-o-y in June from 35.7% in May. PPI inflation in petroleum, coal and other fuel processing also moderated to 16.7% y-o-y in June from 18.4% in May. PPI inflation in the ferrous and non-ferrous metals smelting and pressing sectors was little changed at 3.1 y-o-y and 23.4% y-o-y, respectively, in June, versus 1.0% and 24.0% in May.

Fig. 1: Selected sector breakdown and contribution of PPI inflation

Categories	Weight	Contribution (June)	Contribution (May)	%, y-o-y					
	%	pp	pp	Jun-26	May-26	Apr-26	Mar-26	Feb-26	Jan-26
PPI				**4.1**	**3.9**	**2.8**	**0.5**	**-0.9**	**-1.4**
Oil-related		**1.6**	**1.9**	**0.4**					
Petroleum & Natural Gas Mining	0.8	0.14	0.29	16.8	35.7	28.6	5.2	-12.9	-16.7
Petroleum, Coal and Other Fuel Processing	3.8	0.64	0.71	16.7	18.4	14.2	-4.5	-12.0	-11.5
Chemical Material & Product Manufacuring	6.5	0.73	0.83	11.3	12.7	8.9	-0.3	-3.7	-5.0
Chemical Fiber Manufacturing	0.7	0.06	0.06	7.4	8.5	5.4	-2.3	-6.0	-6.4
Rubber & Plastic Product Manufacturing	2.2	0.03	0.01	1.4	0.5	-1.3	-3.4	-4.2	-4.1
Non-ferrous-related		**1.7**	**1.8**						
Non Ferrous Metal Mining	0.3	0.08	0.11	25.5	36.5	38.9	36.4	30.2	22.7
Non Ferrous Metal Smelting & Pressing	7.0	1.65	1.69	23.4	24.0	22.5	22.4	22.1	17.1
Ferrous-related									
Ferrous Metal Mining	0.3	0.02	0.01	5.2	3.3	1.3	0.1	1.0	3.0
Ferrous Metal Smelting & Pressing	5.6	0.17	0.06	3.1	1.0	-1.1	-2.5	-3.4	-3.7
Coal-related									
Coal Mining	1.9	0.39	0.19	20.6	10.0	3.1	-2.2	-7.0	-9.8
Non-metal Mineral Smelting & Pressing	0.3	-0.01	-0.01	-3.3	-3.4	-4.1	-4.2	-5.0	-4.6
Non-metal Mineral Product Manufacturing	3.3	-0.15	-0.17	-4.4	-5.1	-5.5	-4.9	-4.9	-5.4
Selected manufacuring products									
Computer, Communication & Other Electronic Equipment Manufacturing	12.5	0.41	0.26	3.3	2.1	1.5	0.4	-0.9	-1.6
Electrical Machinery & Equipment Manufacturing	8.4	0.43	0.38	5.1	4.5	3.6	3.2	2.0	0.8
Automobile Manufacturing	8.0	-0.17	-0.16	-2.1	-2.0	-2.0	-2.5	-2.4	-2.5
Fabricated Metal Product Manufacturing	3.4	0.05	0.03	1.6	0.8	0.5	0.2	-0.2	-0.7
General Equipment Manufacturing	3.7	-0.03	-0.03	-0.7	-0.9	-1.0	-1.2	-1.1	-1.3
Special Equipment Manufacturing	2.8	0.00	-0.02	0.0	-0.8	-0.9	-1.0	-1.0	-0.9

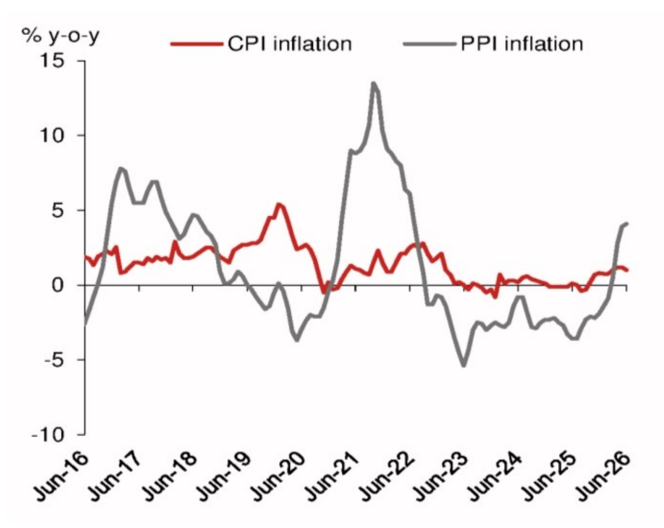
Note: Sector weight is calculated by their 2025 industrial revenue.
Source: Wind, Nomura Global Economics.

Fig. 2: A breakdown of inflation by major component

Categories	%. y-o-y					
	Jun 26	May 26	Q2 26	Q1 26	2025	2024
CPI	**1.0**	**1.2**	**1.1**	**0.9**	**0.0**	**0.2**
Food	**-1.6**	**-1.7**	**-1.6**	**0.4**	**-1.5**	**-0.6**
Grain	-0.5	-0.3	-0.4	-0.3	-1.0	-0.1
Vegetable	-0.3	1.6	0.3	7.6	-3.9	5.0
Pork	-15.9	-16.1	-15.7	-11.3	-6.1	7.7
Aquatic	-0.4	0.6	0.5	3.5	1.4	1.0
Egg	16.0	6.6	7.7	-5.2	-7.4	-4.4
Milk	-1.7	-1.2	-1.4	-0.9	-1.5	-1.6
Fruit	-0.7	-2.2	-1.3	4.3	1.2	-3.5
Non-Food	**1.5**	**1.9**	**1.7**	**0.9**	**0.4**	**0.4**
Apparel	1.4	1.4	1.4	1.8	1.5	1.4
Residence	-0.3	-0.2	-0.2	-0.2	0.1	0.1
Household articles & services	1.3	1.8	1.5	2.3	0.9	0.5
Transportation and communication	4.1	5.4	4.7	-1.1	-2.6	-1.9
Education, culture and recreation	1.4	1.3	1.3	1.0	0.8	1.5
Medicine and healthcare services	2.3	2.1	2.2	1.8	0.8	1.3
Other goods and services	6.6	9.9	9.2	14.1	9.3	3.8
Goods	**1.1**	**1.6**	**1.4**	**0.9**	**-0.3**	**-0.1**
Services	**0.8**	**0.8**	**0.8**	**0.8**	**0.5**	**0.7**
Core CPI (excluding food and energy)	**1.0**	**1.1**	**1.1**	**1.2**	**0.7**	**0.5**
PPI	**4.1**	**3.9**	**3.6**	**-0.6**	**-2.6**	**-2.2**
Upstream	**5.5**	**5.2**	**4.8**	**-0.3**	**-3.0**	**-2.5**
Mining	16.5	15.8	14.3	-3.8	-9.0	-2.9
Raw materials	8.6	9.2	8.3	-0.9	-3.4	-1.7
Manufacturing	3.0	2.3	2.3	0.3	-2.4	-2.9
Downstream	**-0.9**	**-0.8**	**-0.9**	**-1.5**	**-1.5**	**-1.1**
Food	-2.1	-1.8	-1.9	-1.8	-1.6	-1.1
Apparel	-1.0	-1.0	-1.0	-0.9	-0.1	-0.1
Daily articles	-1.0	-1.0	-1.0	-1.7	0.8	0.0
Durable goods	0.1	0.0	-0.1	-1.5	-3.3	-2.2

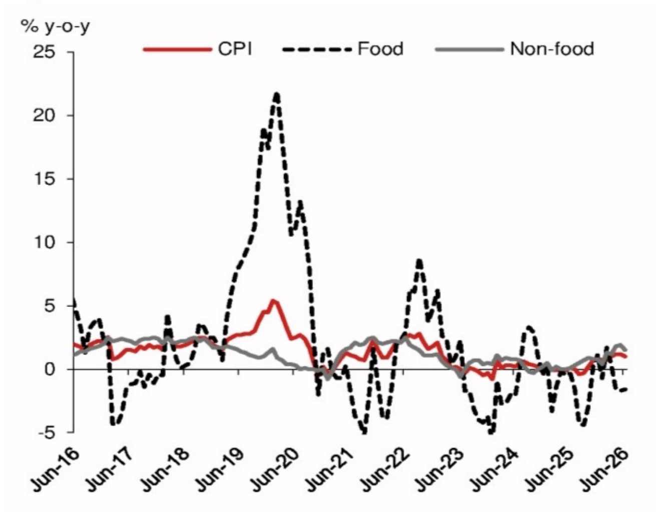
Source: NBS, Wind, Nomura Global Economics

Fig. 3: CPI and PPI inflation



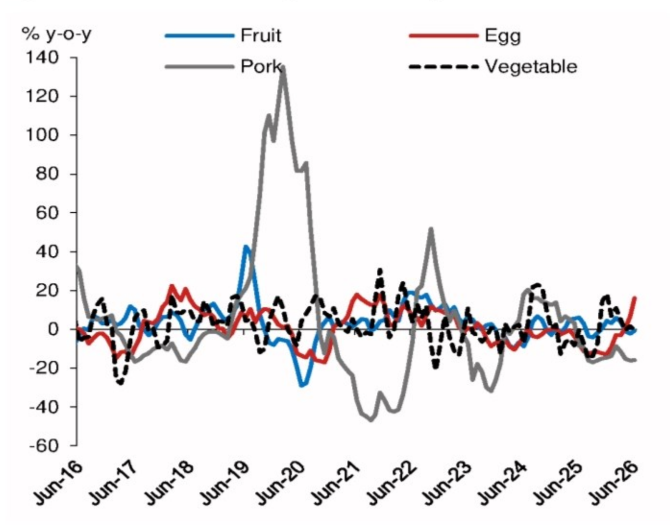
Source: Wind and Nomura Global Economics.

Fig. 4: CPI inflation: Food vs non-food



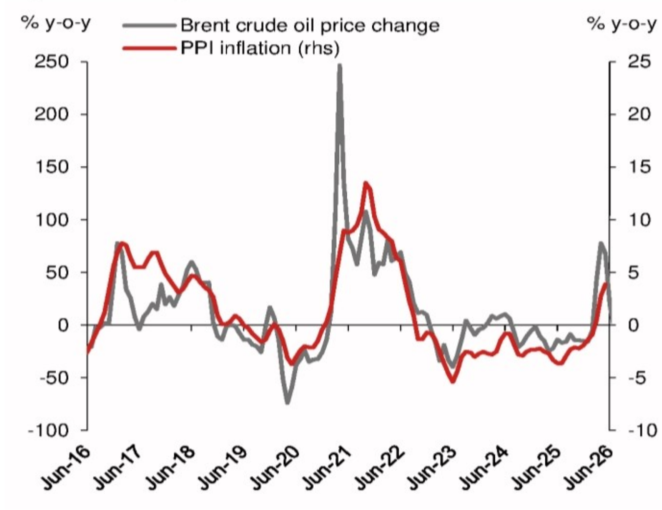
Source: Wind, Nomura Global Economics.

Fig. 5: Price inflation of major food categories



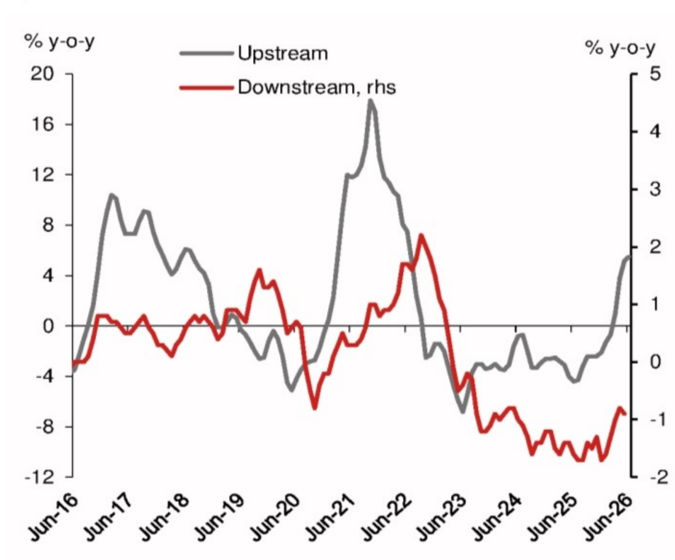
Source: Wind, Nomura Global Economics.

Fig. 6: Brent oil price and PPI inflation



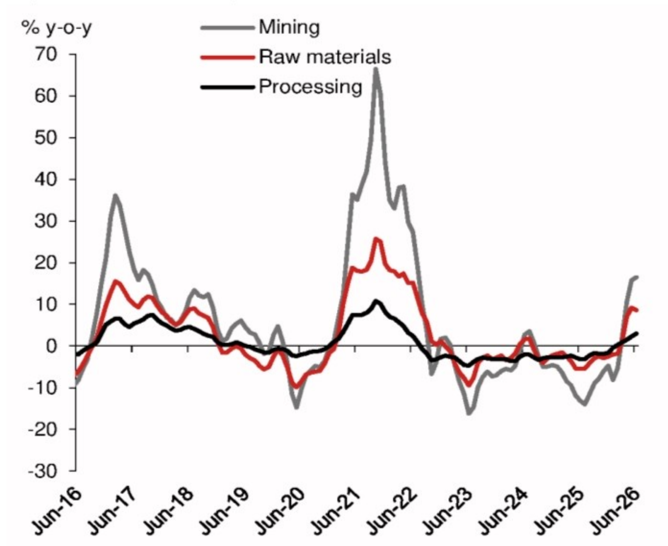
Source: Wind, Nomura Global Economics

Fig. 7: PPI inflation: upstream and downstream



Source: NBS, Wind, Nomura Global Economics

Fig. 8: PPI inflation by upstream sector



Source: NBS, Wind, Nomura Global Economics

Appendix A-1

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